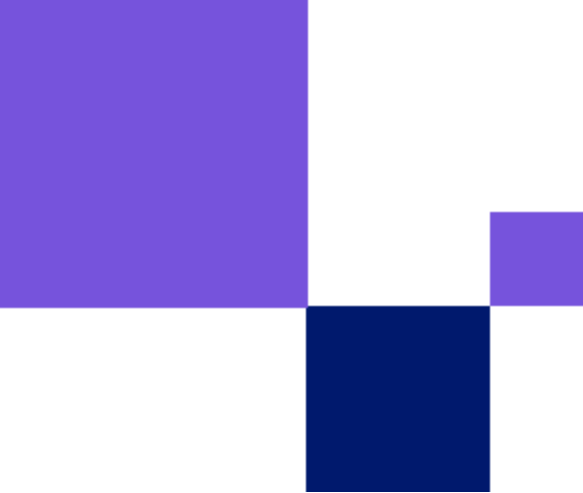




Foundations of Financial Accounting (ACC107)

Lecture 4
Financial Statements of Sole Traders
(Ch.13 & 2)

Learning outcomes

- Explain the relevance of inventory and the cost of sales in the determination of gross profit.
- Explain the purpose and structure of the statement of profit or loss and the statement of financial position.
- Describe the nature of non-current assets, current assets, current liabilities, and non-current liabilities.
- Prepare a simple statement of profit or loss and statement of financial position from a trial balance.
- Distinguish between capital and revenue expenditure.
- Have a basic understanding of international accounting standards.

Inventory control system

Perpetual inventory recording system

- Constant monitoring of inventory levels and frequent reorders
- Computerized inventory system
- Larger, more established companies use the perpetual inventory system

Periodic inventory recording system

- The number of items in inventories are physically checked periodically (e.g. monthly, quarterly, or annually)
- Small businesses with few employees and companies that sell low volumes often use the periodic inventory system



Accounts under periodic inventory system

Inventory

Items that have been purchased for resale, but that are unsold at the end of the accounting period.

Assets

Purchase

The purchase costs of goods for resale.

Expenses

Cost of sales (COS)

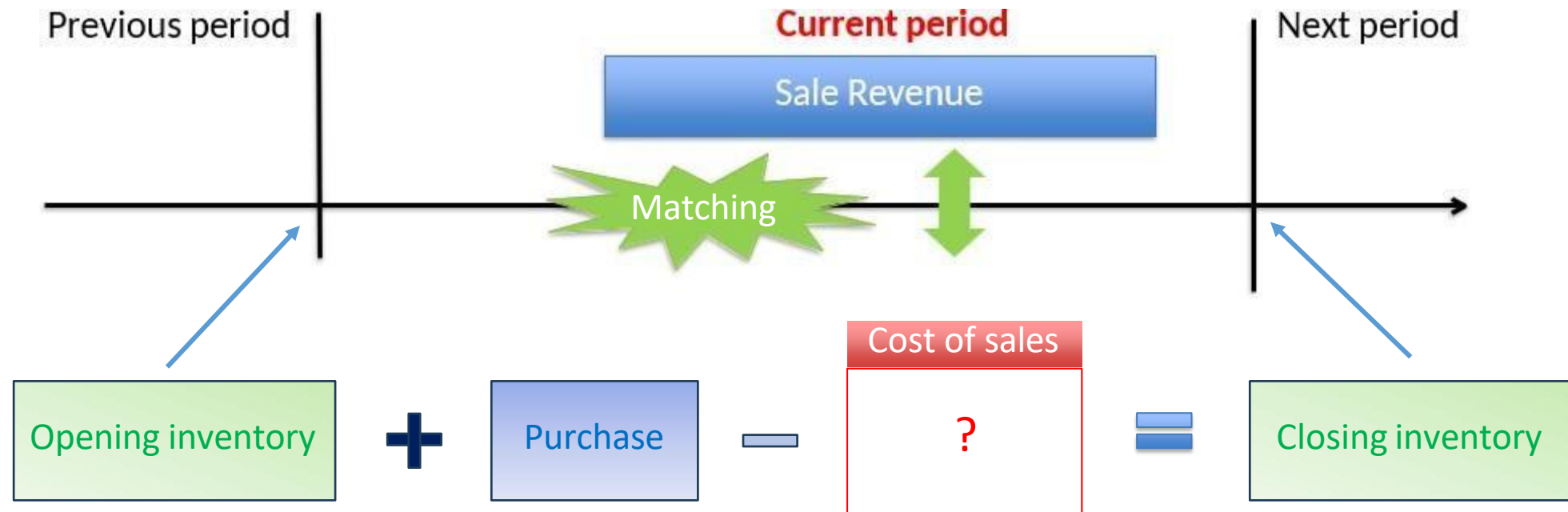
Costs of the units sold in the period. It is a calculated item.

Expenses

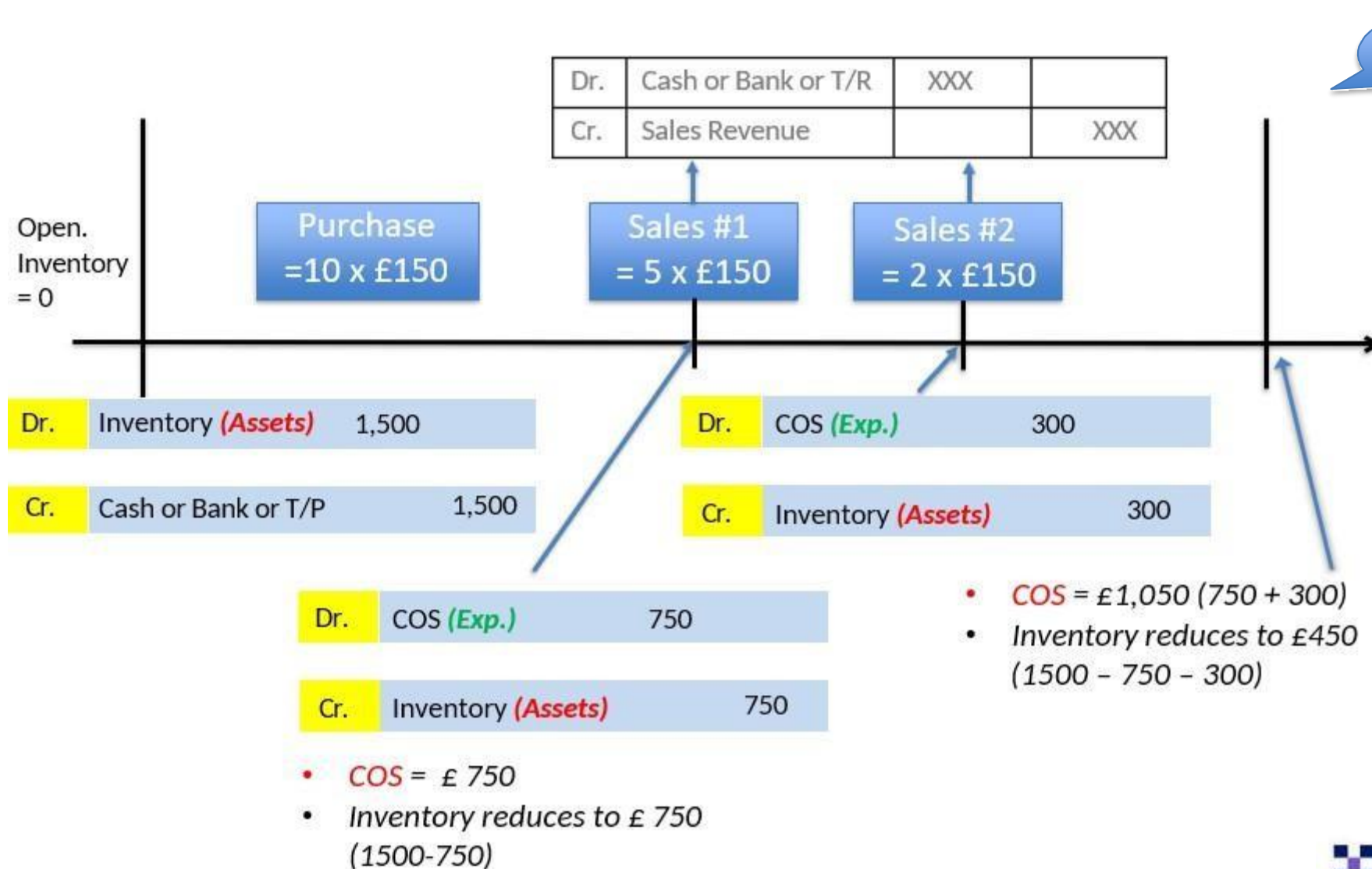
Gross profit

The ***sales revenue*** in the period less the ***cost of sales*** in the period.

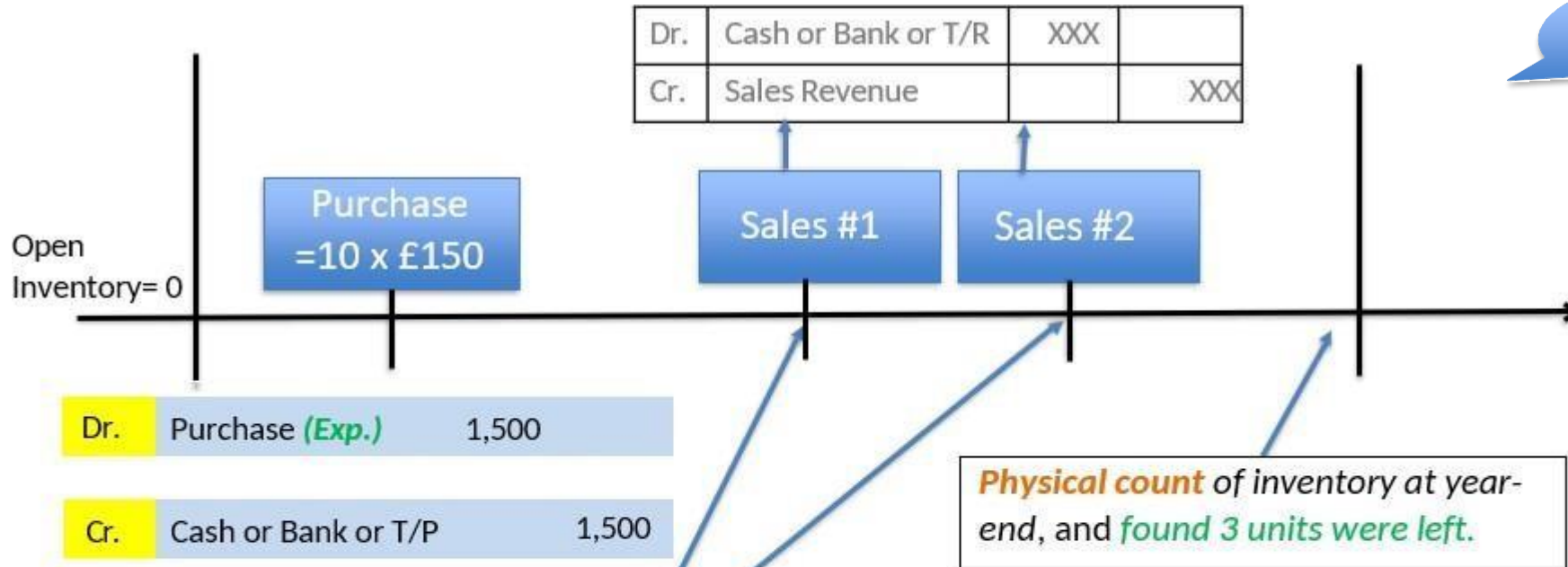
Cost of sales



Perpetual inventory system



Periodic inventory system



Our focus

No Record of Changes in Inventory

1. Closing Inventory is determined at
£450 (3 unit x 150)
2. $\text{COS} = \text{Open. Inv.} + \text{Purchase} - \text{Closing inventory}$
 $= 0 + 1,500 - 450 = \text{£}1,050$

Working example 1

Mann, whose accounting year ends on 30 April, buys and sells one type of product. Mann adopts the periodic inventory system.

- On 1 May 20X8 there were 50 units in inventory which had cost £100 each.
- During the subsequent accounting year he purchased a further 500 units at a cost of £100 each.
- The selling price is £150 each.
- There were 100 units which cost £100 each that had not been sold at 30 April 20X9.

Calculate the cost of sales and gross profit for the year.

Working example 1

S. Mann Trading account for the year ended 30 April 20X9			
Units		£	£
<u>450</u>	Sales revenue		67,500
	Less: Cost of goods sold:		
50	Inventory of goods at 1 May 20X8	5,000	
<u>500</u>	Add: Goods purchased during the year	<u>50,000</u>	
550	Cost of goods available for sale	55,000	
100	Less: Inventory of goods at 30 April 20X9	<u>10,000</u>	
450	Cost of sales		45,000
	Gross profit for the year		<u>22,500</u>

Statement of profit or loss

The **statement of profit and loss (SPL)** is a financial statement that summarizes the revenues earned, expenses incurred, and resultant profit or loss during a specified period. SPL is the first part of the statement of financial performance.

Revenue



Expenses



Profit/Loss

ABC		
Statement of profit or loss for the year ended . . .		
	£	£
Revenue		X
Cost of sales		(X)
<i>Gross profit</i>		X
Other income		X
Distribution costs		(X)
Administrative expenses		(X)
Finance costs		(X)
<i>Profit/(Loss) for the period</i>		X =

The second part of the statement of financial performance, the statement of other comprehensive income, will be introduced in Lecture 9.

Statement of profit or loss

Distribution costs / Selling expenses

Selling expenses refer to the costs incurred in promoting sales and retaining customers. **Distribution costs** refer to all the expenses incurred during the process of delivering goods to end consumers.

Administrative expenses

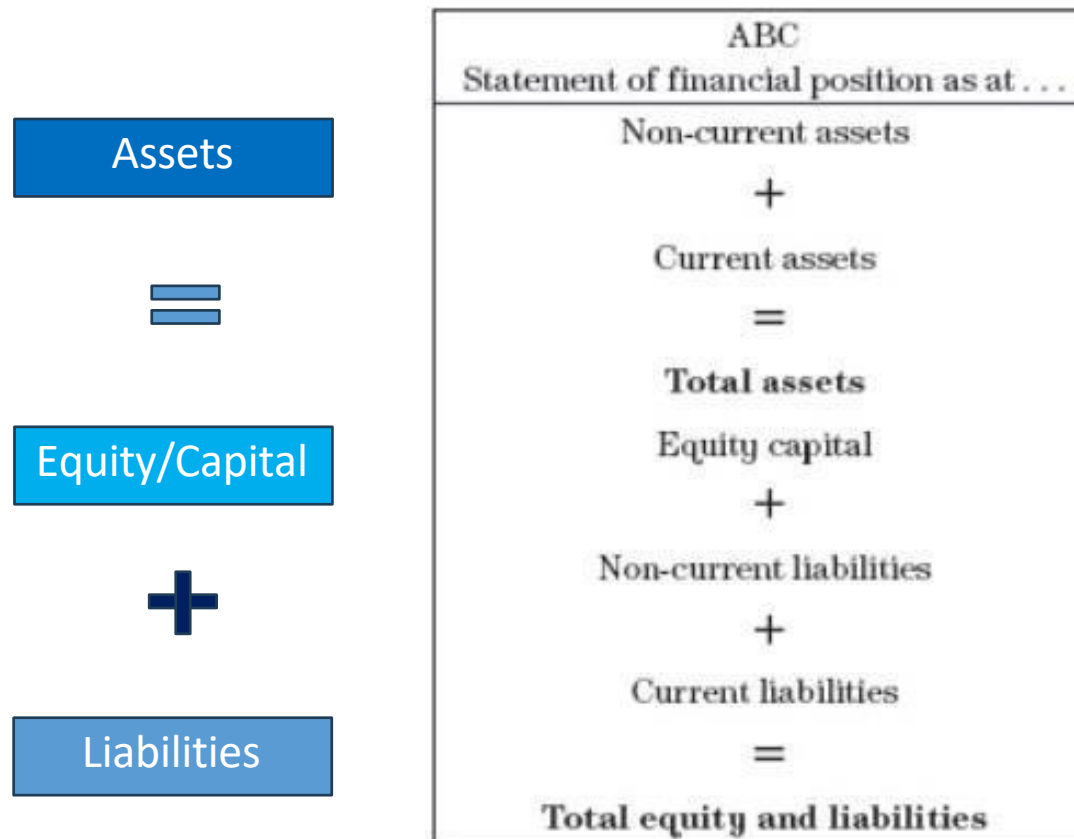
Administrative expenses are incurred in the day-to-day operations of a business and may not be directly tied to a specific function or department within the company.

Financial costs

Financial costs are interests and charges that are incurred in the borrowing of money.

Statement of financial position

The **statement of financial position** is a list of the assets, liabilities and capital of a business at the end of a given accounting period.



Statement of financial position

Non-current assets (固定资产)

- Items not specifically bought for resale
- Items to be used in the production or distribution process
- Durable goods that usually last for several years
- There must be an intention to keep them for **more than one accounting year**

Examples

Land and buildings; plant and machinery; motor vehicles; office equipment; furniture, fixtures and fittings.

Statement of financial position

Current assets (流动资产)

- The assets owned by a company that can be converted to cash through liquidation, use, or sales **within one year**.
- Current assets demonstrate a company's short-term liquidity and ability to pay its short-term obligations.

Examples

Cash and Cash Equivalents; Short-term investments; Trade receivables; Prepayments; Inventories

Statement of financial position

Non-current liabilities (长期负债)

- Obligations or debts not due until after one year.

Examples

Long-term loan; Leases; Mortgage

Current liabilities (流动负债)

- Obligations that need to be settled or debts that are payable within one year.

Examples

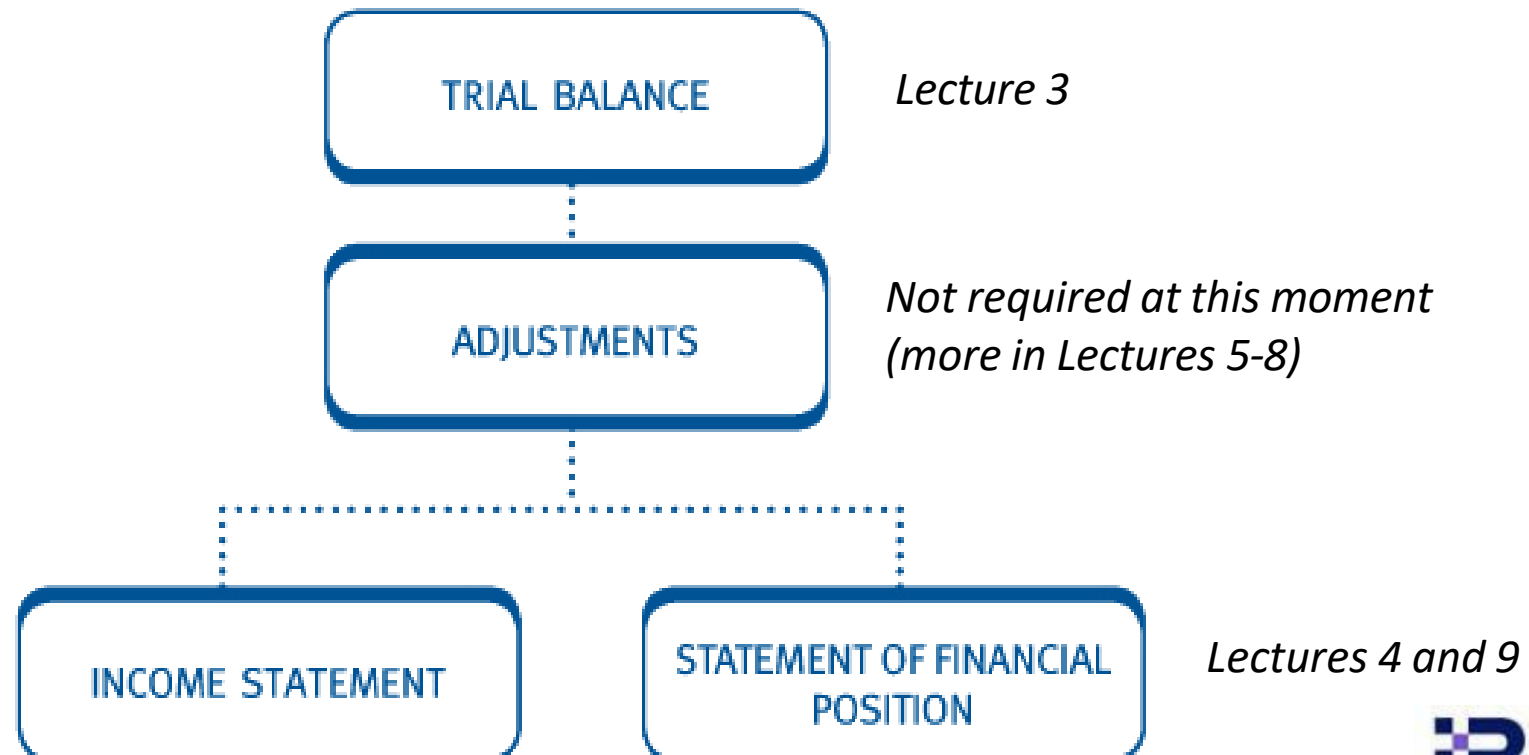
Bank overdraft; Trade payables; Accruals; Short-term loans

Capital/Equity(所有者权益)

- The residual interests that can be claimed by the owner of the business (net assets).

Preparing financial statements

- Extract the statement of profit or loss/total comprehensive income and the statement of financial position from the ***trial balance***.
- If without further adjustments, debit and credit are *NOT* needed to prepare the financial statements.



Preparing financial statements

Step 1. Copy the **revenue** and **expense** accounts with their balances from the trial balance to the statement of profit or loss.

- Calculate **Cost of sales**.
- Calculate the **profit or loss** (last line)

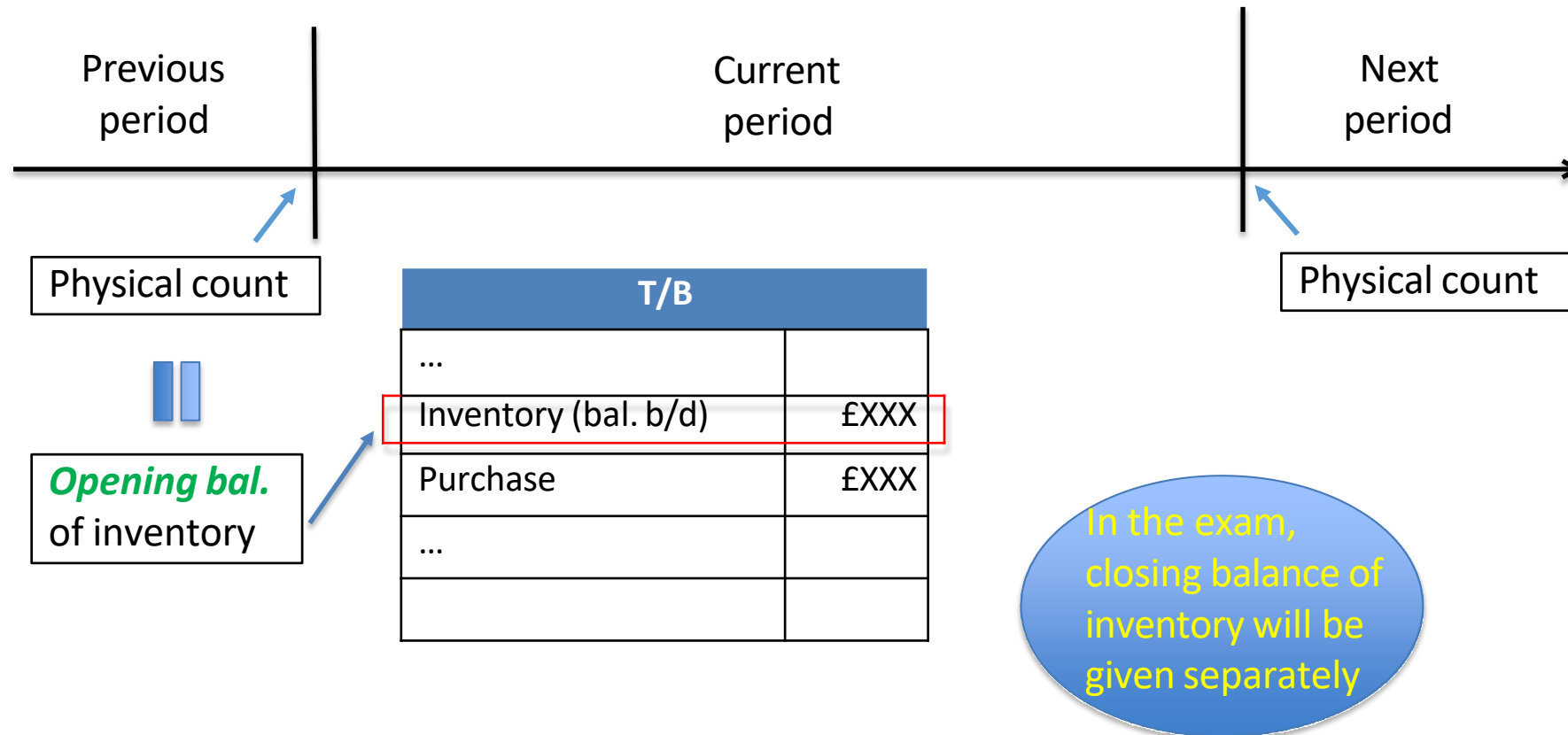
Step 2. Copy the rest of the accounts (assets, liabilities, and opening capital) with their balances to the Statement of Financial Position.

- Update the **Inventory** account with the new balance.
- Use the last line **profit or loss** from the statement of profit or loss to calculate the **closing capital** of the statement of financial position.

Step 3. Check the accounting equation in the statement of financial position.

Inventories in the trial balance

- In the periodic system, the **Inventory** shown in a **trial balance** will *always* be the **opening inventory** of the year.



Working example 2

**This is the trial balance of R. Woods
as at 30 September 20X9:**

Note: The inventory at 30 September 20X9
is valued at £2,946.

Required: Prepare a statement of profit or
loss for the year ended 30 September
20X9 and a statement of financial position
at that date.

	<i>Debit</i>	<i>Credit</i>
	£	£
Inventory 1 Oct 20X8	2,368	
Purchases	12,389	
Revenue		18,922
Salaries and wages	3,862	
Rent and rates	504	
Insurance	78	
Motor expenses	664	
Printing and stationery	216	
Light and heat	166	
General expenses	314	
Premises	5,000	
Motor vehicles	1,800	
Fixtures and fittings	350	
Trade receivables	3,896	
Trade payables		1,731
Cash at bank	482	
Drawings	1,200	
Capital		12,636
	<u>33,289</u>	<u>33,289</u>

Exp.

	Debit	Credit
	£	£
Inventory 1 Oct 20X8	2,368	
Purchases	12,389	
Revenue		18,922
Salaries and wages	3,862	
Rent and rates	504	
Insurance	78	
Motor expenses	664	
Printing and stationery	216	
Light and heat	166	
General expenses	314	
Premises	5,000	
Motor vehicles	1,800	
Fixtures and fittings	350	
Trade receivables	3,896	
Trade payables		1,731
Cash at bank	482	
Drawings	1,200	
Capital		<u>12,636</u>
	<u>33,289</u>	<u>33,289</u>

Statement of profit or loss for the year ended Sep 30 20X9

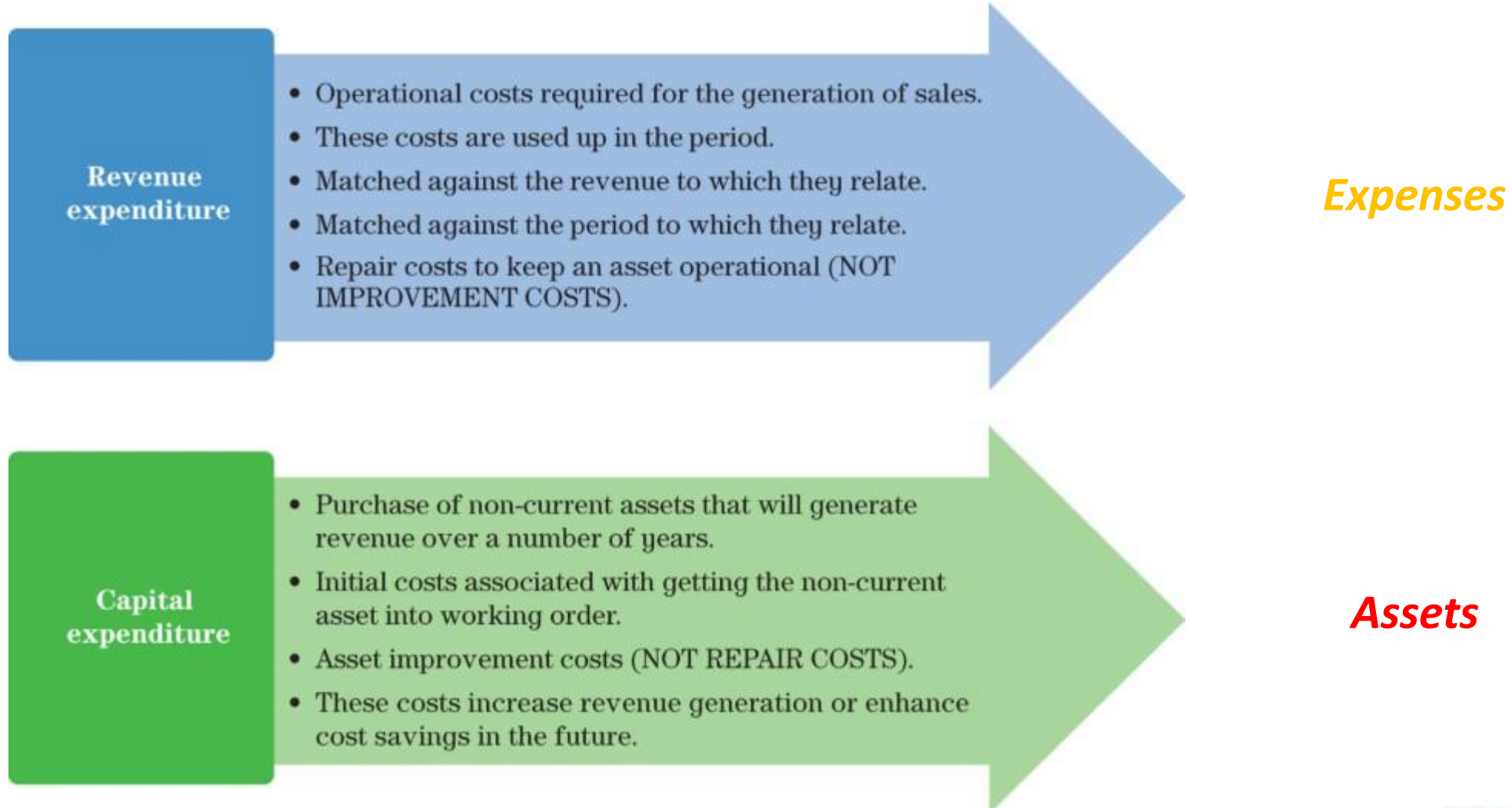
Sales Revenue		18,922
<i>Less: Cost of sales</i>		
Inventory on 1 Oct 20X8	2,368	
<i>Add: Purchases</i>	12,389	
<i>Less: Inventory on 30 Sep 20X9</i>	<u>2,946</u>	
		<u>11,811</u>
Gross profit		7,111
<i>Less: Expenditure</i>		
Salaries and wages	3,862	
Rent and rates	504	
Insurance	78	
Motor expenses	664	
Printing and stationery	216	
Light and heat	166	
General expenses	314	
		<u>5,804</u>
Net profit		1,307

Statement
of financial
position
accounts

	<i>Debit</i>	<i>Credit</i>
	£	£
Inventory 1 Oct 20X8	2,368	
Purchases	12,389	
Revenue		18,922
Salaries and wages	3,862	
Rent and rates	504	
Insurance	78	
Motor expenses	664	
Printing and stationery	216	
Light and heat	166	
General expenses	314	
Premises	5,000	
Motor vehicles	1,800	
Fixtures and fittings	350	
Trade receivables	3,896	
Trade payables		1,731
Cash at bank	482	
Drawings	1,200	
Capital		<u>12,636</u>
	<u>33,289</u>	<u>33,289</u>

Statement of financial position as at Sep 30 20X9		
Non-current assets		
Premises	5,000	
Motor vehicles	1,800	
Fixtures and fittings	<u>350</u>	
		7,150
Current assets		
Bank	482	
Trade receivables	3,896	
Inventory (Closing Bal. from the note)	<u>2,946</u>	
		<u>7,324</u>
Total assets		14,474
Equity capital		
Balance at Oct 1, 20X8 (Opening Bal.)	12,636	
Add: Profit for the year (From SPL)	1,307	
Less: Drawings	<u>1,200</u>	
Balance at Sep 30, 20X9 (Closing Bal.)		<u>12,743</u>
Current liabilities		
Trade payables		<u>1,731</u>
Total equity and liabilities		14,474

Revenue expenditure & Capital expenditure



Working example 3

Whether the following expenditures (which relate to the motor vehicles of the business) should be classed as capital or revenue items?

	Capital	Revenue
1. Purchase of a new van	✓	
2. Repair of a lorry (the lorry is already purchased)		✓
3. Road tax on the van and lorry		✓
4. Cost of removing seats in the van to create more room for transporting goods for the business	✓	
5. Replacing the worn tyres for the lorry		✓
6. Upgrading the engine for both the lorry and the van	✓	



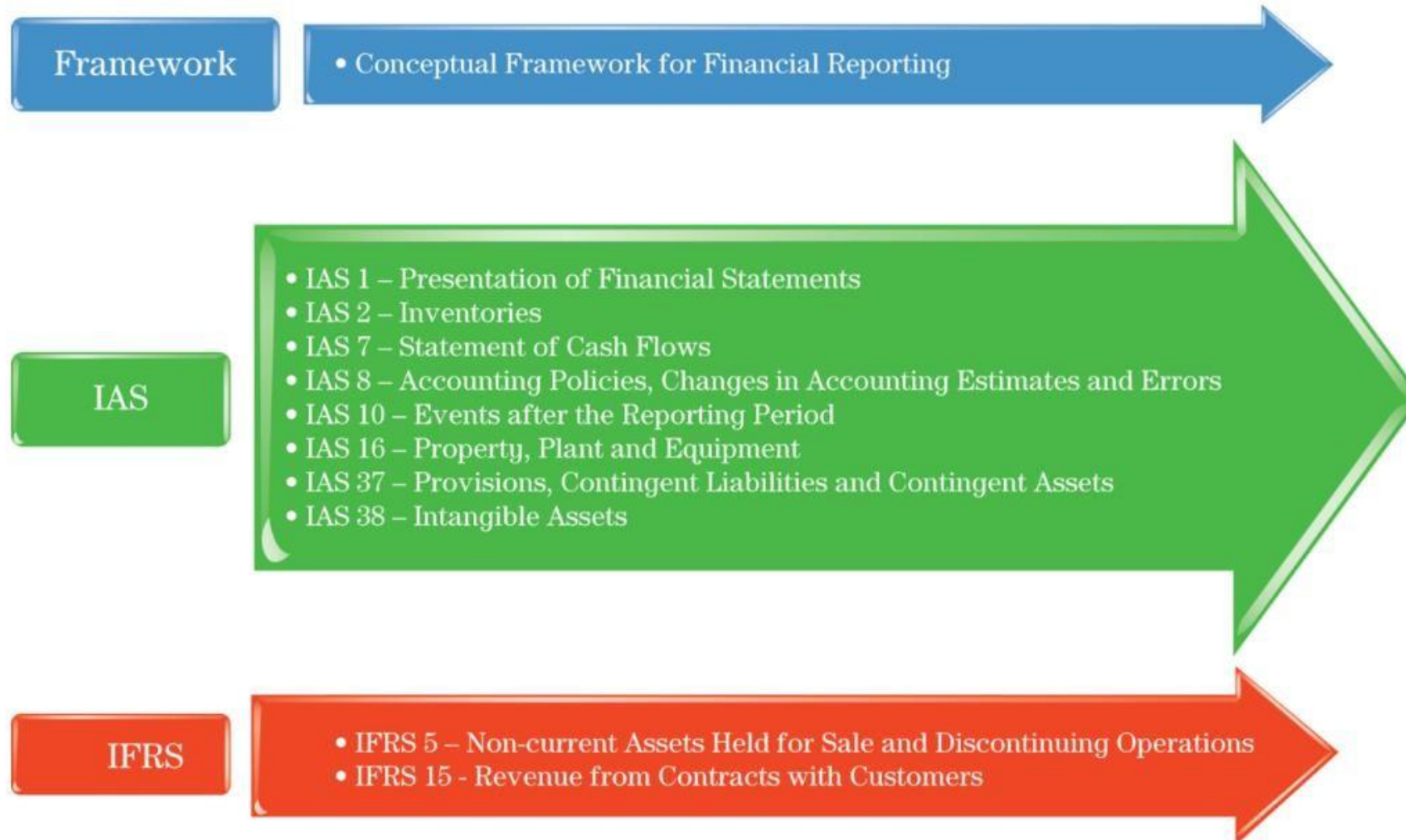
Accounting standards

- Accounting is *NOT* meant to be creative. It is meant to portray the economic substance of a transaction.
- Guidance on how to account is required to protect stakeholders (users of accounting information) and to provide information that is useful for their economic decision-making.
- The accounting standard is a set of principles, rules, and procedures that specify when and how economic events are to be recognized, measured and displayed.
- Accounting standards are agreements among practitioners and subject to change.

GAAP & IFRS

- The standards that govern financial reporting and accounting vary from country to country.
- ❑ The **Generally Accepted Accounting Principles** (GAAP) is issued by the **Financial Accounting Standards Board** (FASB).
 - Used in the U.S.
- ❑ And the **International Financial Reporting Standards** (IFRS) is developed by the **International Accounting Standards Board** (IASB).
 - Also, some of **IASs** (**International Accounting Standards**) that were issued by IASC (the predecessor of IASB) are still in use.
 - List of IFRSs standards and IASs:
(<https://www.ifrs.org/issued-standards/list-of-standards/>)
 - Countries and accounting standards they use:
(<https://www.ifrs.org/use-around-the-world/use-of-ifrs-standards-by-jurisdiction/>)

IFRS/IAS mentioned in the textbook



- *Will not be tested in the exams.*
- *You are **NOT** required to memorize all these accounting standards.*

Qualitative characteristics of financial information

Fundamental qualitative characteristics

Relevance: information is relevant if it can influence user decision-making. To be relevant, information typically has:

- predictive value
- confirmatory value, or
- both

Faithful representation: information should represent a phenomenon faithfully. This means the information should be:

- complete
- neutral
- free from error



Homework

- ▶ Good review of the content of this lecture
- ▶ Attempt tutorial questions on time
- ▶ Prepare for Quiz 1

Thanks for your listening

